Sales Comparison Approach: 13604 and 13608 Chadron Ave, Hawthorne, CA 90250

Riley Otto · Effective date October 2026 · Prepared October 13, 2026; Part 2 revision October 26, 2026 · Data: CoStar sale comparable reports dated October 7, 2026

Subject property summary

The subject is two adjacent 15-unit apartment buildings at 13604 and 13608 Chadron Avenue in Hawthorne, west of Crenshaw Boulevard and about 12 minutes from Los Angeles International Airport. Each building sits on its own 0.30 acre (12,962 SF) parcel, is zoned HAR3, and was built in 1986 of masonry construction as a two-story walk-up with 10,244 SF of gross building area and 24 covered, gated parking spaces (1.6 spaces per unit). Site amenities are controlled access, gated entry, on-site laundry, and gas ranges. The combined property has 30 units on 0.60 acres at a density of 50 units per acre.

The unit mix is 29 one-bedroom, one-bath units of about 750 SF and one two-bedroom, 1.5-bath unit. The 13608 building was renovated in 2021; the 13604 building has no reported renovation. CoStar reports an average asking rent of $1,852 per unit at 13608 as of September 2026, with one-bedroom units at $1,745 asking and $1,737 effective ($2.32 per SF) and the two-bedroom unit at $3,355. The Hawthorne 1 to 3 star submarket averaged $2,067 per unit in January 2025, so the subject's one-bedroom rents sit roughly 16 percent below the submarket average. The subject is more than 15 years old and is therefore covered by the statewide AB 1482 rent cap; Hawthorne has no local rent control ordinance.

Both buildings sold together on January 15, 2025 for $6,200,000, or $206,667 per unit, after 30 days on the market against an asking price of $6,500,000. The sellers had owned the property for more than 20 years. CoStar allocated $2,511,814 ($167,454 per unit, $245 per SF) to 13604 and $3,688,186 ($245,879 per unit, $360 per SF) to 13608. In-place 2024 net operating income was $260,480, or $8,683 per unit, for an actual cap rate of 4.1 to 4.2 percent against a pro forma cap rate of 5.5 percent. The buyer was motivated by the potential to add accessory dwelling units. That sale is analyzed below as the subject's own transaction history rather than as a comparable, since the aim here is a current value opinion as of October 2026, the date of the CoStar reports in the packet.

Comparable selection

The packet holds 20 sales of 10 to 50 unit properties in the Hawthorne, Gardena, and Lawndale submarkets over the 18 months ending in early 2025, two of which are the subject's own allocated prices. Six sales were selected for the grid. The screen favored properties that match the subject on the characteristics that drive price per unit in this submarket: 1980s vintage, two-story walk-up construction, 10 to 18 units, covered parking, a Hawthorne or adjacent-city address, and a confirmed arm's length price with reported income.

Selected sales:

1. 4360 W 137th St, Hawthorne (CoStar sale 3). Built 1985, 10 units, closed January 2025. The closest match on age, location, and date.
2. 4453 W 140th St, Hawthorne (CoStar sale 4). Built 1987, 10 units, closed December 2024 as half of a 20-unit portfolio.
3. 13220 Cordary Ave, Hawthorne (CoStar sale 5). Built 1986, 14 units, closed October 2024. Same vintage, same submarket.
4. 1046-1048 Marine Ave, Gardena (CoStar sale 11). Built 1987 and renovated in 2024, 12 units, closed May 2024. Sets the upper end for a renovated 1980s building.
5. 13311 Kornblum Ave, Hawthorne (CoStar sale 12). Built 1964, 18 units, closed March 2024. Included to bracket the lower end for an older, under-parked building in the subject's own neighborhood.
6. 14423 Larch Ave, Hawthorne (CoStar sale 14). Built 1980, 12 units, closed January 2024. Oldest of the selected sales, kept for its 1980s vintage and covered parking ratio.

Rejected sales and the reason for each: 11941 Acacia Ave (27 units averaging 331 SF, a studio product with no match to the subject's unit sizes); 4750 Broadway (1962, 62 percent studios, 0.6 parking spaces per unit); 14900 Lemoli Ave, Gardena (1961, 171 days on market); 13801-13817 Van Ness Ave, Gardena (41 units, outside the subject's size class); 14110 Yukon Ave (28 units, 61 percent occupied at sale, a distressed-income transaction); 12545 Eucalyptus Ave (1960, estate sale, two-bedroom product); 13703 Lemoli Ave and 15317 Hawthorne Blvd (single-story 1940s and 1950s product at $156 to $290 per SF); 14715-14719 Chadron Ave, Gardena (32 units, 1959); 1034 Magnolia Ave, Gardena (1961, 3.0 percent reported cap rate, income not verifiable). 13922 Yukon Ave and 13304-13308 Roselle Ave are current listings with the price withheld, so they cannot be placed on the grid; both are two-building, one-bedroom properties marketed for ADU potential and are noted in the reconciliation as evidence of buyer interest in the subject's product type.

Comparable write-ups

Improved sale one: 4360 W 137th St, Hawthorne

This comparable is the sale of a 10-unit, two-story apartment building built in 1985 on a 0.20 acre lot zoned HAR3, about six blocks north of the subject in the Hawthorne submarket. The unit mix is four one-bedroom and six two-bedroom units in 7,752 SF of gross building area, or 775 SF per unit. The site has 18 covered parking spaces (1.8 per unit) and on-site laundry; units have dishwashers, disposals, and ranges. No gated entry is reported. The property is subject to AB 1482 and no local rent control.

The property was listed at $2,850,000 and sold on January 8, 2025 at the asking price, or $285,000 per unit ($368 per SF), after 30 days on the market and a 55-day escrow. It was fully occupied. CoStar records the sale condition as a purchase by a tenant. In-place 2024 net operating income was estimated at $149,055 ($14,906 per unit), for an actual cap rate of 5.23 percent and a gross rent multiplier of 13.34. The seller had owned the property for more than 20 years. The broker verified the sale.

Improved sale two: 4453 W 140th St, Hawthorne

This comparable is the allocated sale of a 10-unit, two-story building built in 1987 on a 0.21 acre lot in the Ramona submarket of Hawthorne, about seven blocks south and west of the subject. CoStar reports all 10 units as studios; the 8,791 SF of gross building area (879 SF per unit) suggests the units are larger than that label implies, and the unit mix should be confirmed with the broker. The site has 20 covered parking spaces (2.0 per unit). No amenity detail is reported.

Three family trusts sold this building together with a second property, 20 units in all, to APX Investments Inc. for $5,895,000 on December 11, 2024 after 32 days on the market and a 78-day escrow. CoStar allocated $2,954,298, or $295,430 per unit ($336 per SF), to this building. The portfolio was fully occupied. In-place 2024 net operating income for the portfolio was estimated at $318,920, for an actual cap rate of 5.41 percent, which equates to about $15,946 per unit. The brokers verified the sale. Because the price is an allocation, it carries less weight than a single-asset sale.

Improved sale three: 13220 Cordary Ave, Hawthorne

This comparable is the sale of Space Odyssey Apartments, a 14-unit, two-story walk-up built in 1986 on a 0.26 acre R3 lot about three blocks west of the subject in the Hawthorne submarket. All 14 units are two-bedroom, one-bath units of about 900 SF, in 12,096 SF of gross building area (864 SF per unit). The site has 22 covered parking spaces (1.6 per unit), laundry facilities, and laundry service; units have dishwashers, disposals, and storage.

The property was listed at $4,400,000 and sold on October 16, 2024 for $4,243,000, or $303,071 per unit ($351 per SF), after 92 days on the market. It was fully occupied. The seller divested for investment reasons and the buyer was drawn by in-place cash flow. Net operating income was reported at $233,365 ($16,669 per unit), for a cap rate of 5.50 percent. Both the listing and buyer brokers verified the sale. The property had sold in August 2016 for $2,926,000 ($209,000 per unit) in a court-appointed sale.

Improved sale four: 1046-1048 Marine Ave, Gardena

This comparable is the sale of a 12-unit property in two two-story buildings built in 1987 and renovated in 2024 on a 0.45 acre corner lot zoned GAR3 in the Gardena submarket, about two miles east of the subject. All 12 units are two-bedroom, two-bath units, in 10,584 SF of gross building area (882 SF per unit). Density is 27 units per acre, about half the subject's, and the site has 26 covered parking spaces (2.2 per unit), a fenced lot, laundry, and storage; units have balconies.

The property sold on May 2, 2024 for $3,950,000, or $329,167 per unit ($373 per SF), after 2 months and 27 days on the market. It was 92 percent occupied at sale. Both buyer and seller were in 1031 exchanges. Net operating income for 2024 was reported at $206,142 ($17,178 per unit), for a cap rate of 5.22 percent. The brokers confirmed the sale. The property had sold in May 2021 for $3,300,000 ($275,000 per unit), so the 2024 price reflects a 19.7 percent gain over three years that includes the renovation.

Improved sale five: 13311 Kornblum Ave, Hawthorne

This comparable is the sale of Kornblum Castle, an 18-unit, two-story building built in 1964 on a 0.48 acre R3 lot about four blocks south and east of the subject in the Hawthorne submarket. The unit mix is five one-bedroom units of 708 SF, one two-bedroom, 1.5-bath unit, and 12 two-bedroom, two-bath units of 987 SF, for an average of 909 SF and 16,080 SF of gross building area. The site has 16 covered parking spaces (0.9 per unit) and laundry facilities; units have heating, kitchens, and ranges. CoStar's property notes describe many remodeled units and exterior paint and landscaping dating from 2007, with owned laundry machines and rental upside.

The property sold on March 25, 2024 for $4,250,000, or $236,111 per unit ($264 per SF), after 4 months and 25 days on the market. It was 94 percent occupied. Net operating income was $271,271 ($15,071 per unit), for an actual cap rate of 6.38 percent, a pro forma cap rate of 7.66 percent, and a gross rent multiplier of 10.46. The listing and buyer brokers confirmed the sale.

Improved sale six: 14423 Larch Ave, Hawthorne

This comparable is the sale of a 12-unit, two-story building built in 1980 on a 0.22 acre lot zoned LNR3 in the Lawndale submarket, with a Hawthorne address about 1.3 miles southwest of the subject. CoStar reports all 12 units as studios; the 11,752 SF of gross building area (979 SF per unit) again suggests larger units than the label implies, and the mix should be confirmed. The site has 20 covered parking spaces (1.7 per unit). No amenity detail is reported.

The property sold on January 5, 2024 for $2,850,000, or $237,500 per unit ($243 per SF), and was fully leased at sale. In-place 2024 net operating income was reported at $139,400 ($11,617 per unit), for a cap rate of 4.90 percent. The listing broker and buyer verified the sale. The property had sold 11 months earlier, in February 2023, for $907,500 ($75,625 per unit), which points to a renovation between the two sales even though CoStar records no renovation year.

Adjustment grid

All adjustments are made to the comparables to bring each one to the subject. Transactional adjustments are applied first and in sequence (property rights, financing, conditions of sale, then market conditions); the property characteristic adjustments are then summed and applied to the time-adjusted price per unit. Price per unit is the primary unit of comparison because the submarket trades on unit count and the subject's small one-bedroom units distort a per-square-foot comparison.

Element	Sale 1	Sale 2	Sale 3	Sale 4	Sale 5	Sale 6	Subject
Address	4360 W 137th St, Hawthorne	4453 W 140th St, Hawthorne	13220 Cordary Ave, Hawthorne	1046-1048 Marine Ave, Gardena	13311 Kornblum Ave, Hawthorne	14423 Larch Ave, Hawthorne	13604 and 13608 Chadron Ave, Hawthorne
Transaction type	Sale	Sale	Sale	Sale	Sale	Sale	---
Transaction date	Jan-25	Dec-24	Oct-24	May-24	Mar-24	Jan-24	Oct-26 (effective date)
Year built / renovated	1985	1987	1986	1987 / 2024	1964	1980	1986 (13608 renovated 2021)
Number of units	10	10	14	12	18	12	30 (two 15-unit buildings)
Gross building area (SF)	7,752	8,791	12,096	10,584	16,080	11,752	20,488
GBA per unit (SF)	775	879	864	882	893	979	683
Unit mix	4 x 1BR, 6 x 2BR	10 studios (reported)	14 x 2BR/1BA (900 SF)	12 x 2BR/2BA	5 x 1BR, 13 x 2BR	12 studios (reported)	29 x 1BR/1BA (750 SF), 1 x 2BR/1.5BA
Land area	0.20 AC	0.21 AC	0.26 AC	0.45 AC	0.48 AC	0.22 AC	0.60 AC (two 0.30 AC parcels)
Parking	18 covered (1.8/unit)	20 covered (2.0/unit)	22 covered (1.6/unit)	26 covered (2.2/unit)	16 covered (0.9/unit)	20 covered (1.7/unit)	48 covered (1.6/unit), gated
Occupancy at sale	100%	100%	100%	92%	94%	100%	100%
NOI per unit (in place)	$14,906	$15,946	$16,669	$17,178	$15,071	$11,617	$8,683 (2024, at sale)
Cap rate (in place)	5.23%	5.41%	5.50%	5.22%	6.38%	4.90%	4.1% to 4.2% at Jan-25 sale
Sale price	$2,850,000	$2,954,298	$4,243,000	$3,950,000	$4,250,000	$2,850,000	---
Price per unit	$285,000	$295,430	$303,071	$329,167	$236,111	$237,500	---
Price per SF of GBA	$368	$336	$351	$373	$264	$243	---
Property rights conveyed	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Leased fee
Financing terms	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Cash to seller
Conditions of sale	0.0%	0.0%	0.0%	-2.5%	0.0%	0.0%	Arm's length
Market conditions (time)	0.0%	0.0%	0.0%	+10.0%	+10.0%	+10.0%	---
Price per unit after transactional adjustments	$285,000	$295,430	$303,071	$353,031	$259,722	$261,250	---
Location	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Hawthorne, west of Crenshaw Blvd
Project size	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	15 units per building
Age / condition	0.0%	0.0%	0.0%	-5.0%	+10.0%	-2.5%	1986; one building renovated 2021
Quality of construction	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Masonry, 2-story walk-up
Average unit size	-2.5%	-5.0%	-5.0%	-5.0%	-5.0%	-7.5%	683 SF GBA per unit
Project amenities	+2.5%	0.0%	0.0%	0.0%	+2.5%	0.0%	Gated, controlled access, laundry
Parking	0.0%	-2.5%	0.0%	-2.5%	+5.0%	0.0%	1.6 covered spaces per unit
Unit mix	-2.5%	+5.0%	-5.0%	-5.0%	-5.0%	+5.0%	97% one-bedroom
Utilities / metering	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Not reported
Land area / density	0.0%	0.0%	0.0%	-2.5%	0.0%	0.0%	50 units per acre
Other (rent regulation)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	AB 1482 only; no local rent control
Net property adjustment	-2.5%	-2.5%	-10.0%	-20.0%	+7.5%	-5.0%	---
Indicated value per unit	$277,875	$288,044	$272,764	$282,425	$279,201	$248,188	---
Gross (absolute) adjustment	7.5%	12.5%	10.0%	32.5%	37.5%	25.0%	---

Source: CoStar sale comparable reports dated October 7, 2026; adjustments by the author.

Adjustment rationale

Property rights conveyed. Every sale conveyed the leased fee interest in a fully or near-fully occupied building under short-term residential leases, the same interest held in the subject. No adjustment.

Financing terms. CoStar reports no seller financing, assumed loans, or other atypical terms for any of the six sales; sale four was an exchange on both sides but paid cash to the seller. All prices are treated as cash equivalent. No adjustment.

Conditions of sale. Sale one was a purchase by a tenant; because it closed at the full asking price after a 30-day exposure, the tenant does not appear to have received a discount, and no adjustment is made. Sale two is an allocated price from a 20-unit, two-property portfolio; an allocation is not a negotiated price for the building alone, so the sale is left unadjusted but given less weight. Sale four involved 1031 exchanges for both buyer and seller; an exchange buyer facing a deadline tends to pay at the top of the range, and this sale is the highest unadjusted price per unit in the packet, so a 2.5 percent downward adjustment is applied. Sale six followed a February 2023 purchase at $75,625 per unit; the January 2024 resale itself was between private parties on the open market and is not adjusted. Sales three and five show no unusual conditions.

Market conditions (time). CoStar's market sales price per unit, reported with each comparable, was $265,370 in January 2024, $260,890 in March 2024, and $258,780 in May 2024, then $303,120 in October 2024, $288,040 in December 2024, and $290,350 in January 2025. The index therefore rose about 10 percent from the first half of 2024 to the turn of the year and was flat across the fourth quarter of 2024 into January 2025. Sales four, five, and six, which closed between January and May 2024, are adjusted upward 10 percent. Sales one, two, and three, which closed between October 2024 and January 2025, receive no adjustment. The packet contains no index reading after January 2025, so no further adjustment is made between January 2025 and the October 2026 effective date; this is the assumption most in need of a current CoStar index check before the value is relied on.

Location. All six sales are within about two miles of the subject in the Hawthorne, Ramona, Lawndale, and Gardena submarkets, where CoStar reports the same 1 to 3 star rent levels ($2,037 to $2,067 per unit) and the same 3.1 to 3.3 percent vacancy. Sale four's Gardena location and sale six's Lawndale submarket are treated as equal to the subject's. No adjustment.

Project size. The subject is two 15-unit buildings on separate parcels that can be sold together or apart, so it competes in the same 10 to 20 unit buyer pool as the comparables. No adjustment.

Age and condition. Sales one, two, and three were built in 1985 to 1987 with no reported renovation, matching the subject, which is one renovated and one unrenovated 1986 building. Sale four was renovated in 2024 and is adjusted downward 5 percent. Sale five was built in 1964 with remodeling from 2007 and is adjusted upward 10 percent. Sale six, built in 1980, resold for more than three times its price 11 months earlier, which implies a recent renovation; it is adjusted downward 2.5 percent for condition superior to the subject's unrenovated building.

Quality of construction. The subject is masonry. CoStar does not report construction type for the comparables, and the sample grid in the packet treats masonry as a 2.5 percent premium over wood frame. Without confirmation of each comparable's framing, no adjustment is made, and this is flagged for verification on inspection.

Average unit size. Gross building area per unit is 683 SF at the subject against 775 to 979 SF at the comparables. Larger units command higher rents and prices per unit. Sale one, 13 percent larger, is adjusted downward 2.5 percent; sales two through five, 26 to 31 percent larger, are adjusted downward 5 percent; sale six, 43 percent larger, is adjusted downward 7.5 percent.

Project amenities. The subject has gated, controlled access entry and on-site laundry. Sales one and five report laundry only and no gate and are adjusted upward 2.5 percent each. Sales three and four report

laundry with storage or a fenced lot and are treated as equal. Sales two and six report no amenity detail and are left unadjusted pending confirmation.

Parking. The subject has 1.6 covered spaces per unit. Sales one (1.8), three (1.6), and six (1.7) are similar. Sales two (2.0) and four (2.2) are superior and adjusted downward 2.5 percent. Sale five, at 0.9 spaces per unit, is under-parked for a two-bedroom building and is adjusted upward 5 percent.

Unit mix. The subject is 97 percent one-bedroom units. Two-bedroom units rent and sell for more per unit, so the all two-bedroom sales three and four and the 72 percent two-bedroom sale five are adjusted downward 5 percent, and the 60 percent two-bedroom sale one is adjusted downward 2.5 percent. Sales two and six are reported as all-studio buildings and are adjusted upward 5 percent for an inferior mix; if broker confirmation shows these are one-bedroom units, the adjustment should be removed and the unit size adjustment reconsidered.

Utilities and metering. Metering is not reported for the subject or the comparables. No adjustment; flagged for verification.

Land area and density. The subject sits at 50 units per acre. Sale four, at 27 units per acre on 0.45 acres, carries excess land that supports additional dwelling units and is adjusted downward 2.5 percent. The other sales are at 38 to 54 units per acre and are treated as equal.

Other (rent regulation). The subject and all six comparables are more than 15 years old and are subject to AB 1482. None is in a city with a local rent control ordinance. No adjustment.

Reconciliation and value indication

Before adjustment the six sales range from $236,111 to $329,167 per unit with a mean of $281,047. After adjustment they range from $248,188 to $288,044 per unit with a mean of $274,750. Sale six, the lowest adjusted indication, is also the oldest sale and carries the largest uncertainty about its unit mix and renovation, and its 4.90 percent cap rate shows the buyer paid a relatively high price for its income; it is given the least weight. Sale five carries the largest gross adjustment at 37.5 percent and is used mainly to confirm that an older, under-parked building in the same neighborhood still adjusts to the high $270,000s.

The greatest weight is placed on sales one, two, and three. They are the three most recent sales, they match the subject's 1985 to 1987 vintage and walk-up construction, they are within seven blocks of the subject in Hawthorne, and they required the smallest gross adjustments (7.5 to 12.5 percent). Their adjusted indications are $277,875, $288,044, and $272,764 per unit. Sale four, the renovated Gardena property, adjusts to $282,425 and supports the upper part of that range.

A value per unit of $265,000 is concluded, slightly below the mean of the three most reliable sales. The discount reflects two points the grid cannot fully capture. First, the subject's units are the smallest in the data set and its one-bedroom rents are about 16 percent below the submarket average, so a buyer is paying for upside that has to be earned through turnover under AB 1482 caps. Second, the subject's own January 2025 sale at $206,667 per unit, 21 months before the effective date, is the one transaction of the subject itself; it was a 30-day sale by a 20-year owner at a 4.1 to 4.2 percent in-place cap rate to a buyer focused on adding accessory dwelling units, and a conclusion 28 percent above that price is supported by the comparables but should not be stretched further without current income.

Indicated value by the sales comparison approach:

Unit of comparison	Quantity	Value per unit	Indicated value
Price per unit	30 units	$265,000	$7,950,000
Price per SF of GBA (check)	20,488 SF	$388	$7,950,000

Allocation between the two parcels, following the renovation difference CoStar reflected in its own January 2025 allocation: 13608 Chadron Ave (renovated 2021), 15 units at $275,000, or $4,125,000; 13604 Chadron Ave, 15 units at $255,000, or $3,825,000.

The per-square-foot check of $388 sits above the comparables' $243 to $373 range because the subject has the smallest units in the set; the two sales with units closest in size to the subject, sales one and four, traded at $368 and $373 per SF, so the check is consistent with the per-unit conclusion. Two current listings in the packet, 13922 Yukon Ave (20 units) and 13304-13308 Roselle Ave (12 units), are two-building, all one-bedroom properties in Hawthorne being marketed for accessory dwelling unit potential, the same buyer profile that bought the subject in 2025; their asking prices are withheld, so they are noted only as evidence of demand for the subject's product type.

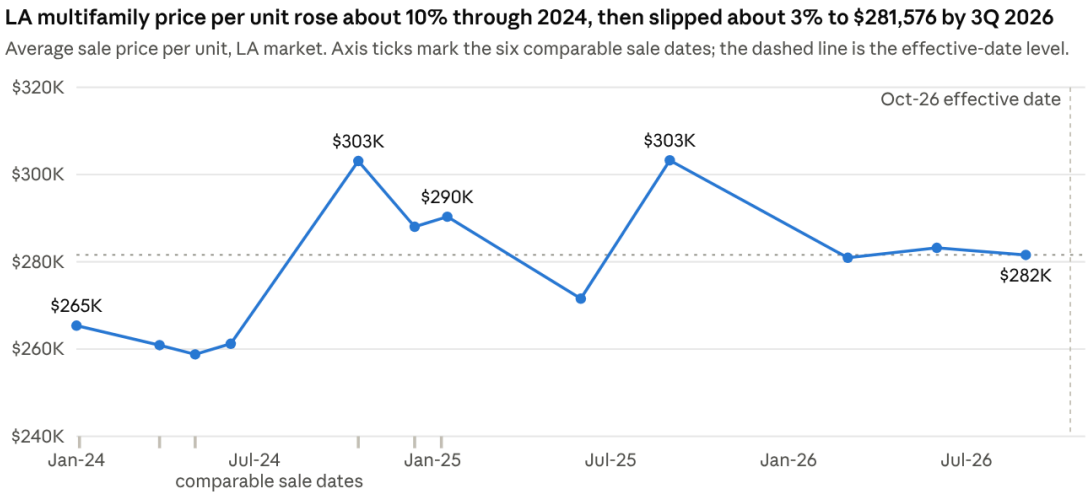
Three items should be verified before this value is relied on: the unit mix of sales two and six, the construction type of all six comparables, and the CoStar market price per unit index between January 2025 and October 2026, which determines whether the time adjustment should extend past January 2025.

Part 2: market conditions adjustment supported by market reports

The first version applied a flat 10 percent time adjustment to the 2024 sales and nothing after January 2025 because the packet had no later index. This version derives the adjustment from published quarterly price per unit series and carries it to the October 2026 effective date.

Sources used. Kidder Mathews, Los Angeles Multifamily Market Trends, 3Q 2026 and 2Q 2026 (data source CoStar): average sales price per unit of $271,557 in 2Q 2025, $303,283 in 3Q 2025, $280,934 in 1Q 2026, $283,201 in 2Q 2026, and $281,576 in 3Q 2026, a 7.2 percent year-over-year decline, with the average cap rate rising from 5.5 percent to 5.9 percent over the same four quarters. Lee & Associates, Los Angeles Multifamily Q2 2026 (CoStar market sale price per unit): $363,185 in 2Q 2025 falling to $351,866 in 2Q 2026, with the cap rate rising from 4.94 percent to 5.80 percent. Northmarq, Southern California Market Insights Q1 2026: Los Angeles median price of $323,900 per unit, about 6 percent above the 2025 median. CBRE, Los Angeles Multifamily Figures Q2 2026: South Bay submarket vacancy of 3.5 percent on 61,620 units with average rent of $3,307, against 95.4 percent occupancy for the metro. The CoStar market conditions block printed with each comparable in the packet gives the same Los Angeles series at the sale dates: $265,370 in January 2024, $260,890 in March 2024, $258,780 in May 2024, $261,220 in June 2024, $303,120 in October 2024, $288,040 in December 2024, and $290,350 in January 2025.

Two of the three series point the same way. Prices rose about 10 percent through 2024, peaked in late 2024 and the third quarter of 2025, and have since drifted down about 3 percent while cap rates moved up 40 to 90 basis points. The Northmarq median is the exception, but it is a median of a different sample and is reported only through the first quarter of 2026. None of the reports publishes a South Bay price per unit series; the CBRE South Bay figures show a submarket tighter than the metro on vacancy, so the metro series is applied without a submarket discount.



How the adjustment was made. For each sale, the adjustment equals the index at the effective date ($281,576 in 3Q 2026) divided by the index at the sale date, minus one, rounded to the nearest 2.5 percent. For the October 2024 sale, the fourth quarter 2024 average of the two readings ($295,580) is used instead of the single October reading, which is a one-month spike.

Sale	Sale date	Index at sale	Index at effective date	Ratio minus one	Adjustment applied
1	Jan-25	$290,350	$281,576	-3.0%	-2.5%
2	Dec-24	$288,040	$281,576	-2.2%	-2.5%
3	Oct-24	$295,580 (Q4 average)	$281,576	-4.7%	-5.0%
4	May-24	$258,780	$281,576	+8.8%	+10.0%
5	Mar-24	$260,890	$281,576	+7.9%	+7.5%
6	Jan-24	$265,370	$281,576	+6.1%	+5.0%

Sources: CoStar market conditions blocks in the sale packet; Kidder Mathews 3Q 2026.

Trend line analysis

Two trend lines were fitted. The first regresses the raw price per unit of all 16 arm's length sales in the packet on sale date: the slope is $4,989 per unit per month but the R squared is only 0.19, so the raw data cannot support a time adjustment on their own because unit mix, age, and size vary too much across the sales. The second isolates time by first applying the property adjustments from the grid to each of the six selected sales and then regressing the result on months since January 2024.

Sale	Sale date	Price per unit after property adjustments, before time
6	Jan-24	$225,625
5	Mar-24	$253,819
4	May-24	$256,750
3	Oct-24	$272,764
2	Dec-24	$288,044
1	Jan-25	$277,875

The fitted line rises $4,160 per unit per month, 1.6 percent per month at the mean, with an R squared of 0.89. That is a steeper slope than the market index over the same 12 months (about 10 percent for the year against 19 percent on the line), which is expected from six small-building sales in one neighborhood during a recovery year, and it confirms the direction and rough size of the upward adjustment to the 2024 sales. The line is not extended past January 2025, because every quarterly series above turns flat or down after that date; the post-January 2025 portion of the adjustment comes from the index, not the trend line.

How the trend line was used. It is a check on the index-based adjustment, not a replacement for it. Where the two methods disagree (the trend line would put Sale 6 about 5 points higher than the index does), the index is used because it rests on the whole market rather than six sales.

Ranking analysis

Each comparable was ranked against the subject on overall desirability before any property adjustments, using its time-adjusted price per unit. A comparable ranked superior should sell above the subject's value and one ranked inferior should sell below it, so the ranking brackets the answer independently of the percentage adjustments.

Rank	Sale	Time-adjusted price per unit	Overall comparability to subject	Main reasons
1	4	$353,031	Superior	Renovated 2024, all two-bedroom two-bath, 2.2 spaces per unit, 0.45 acre lot
2	2	$288,044	Slightly superior	Same vintage, 2.0 spaces per unit, larger units; portfolio allocation
3	3	$287,918	Slightly superior	Same vintage and neighborhood, all two-bedroom 900 SF units
4	1	$277,875	Similar	Same vintage and neighborhood, mixed one and two-bedroom, no gate
Subject				1986, 97 percent one-bedroom, 683 SF per unit, gated, 1.6 spaces per unit
5	5	$253,819	Inferior	1964, 0.9 spaces per unit, no gate; larger two-bedroom units
6	6	$249,375	Inferior	1980, reported studios, no amenity detail

Sources: time-adjusted prices from the revised grid.

The ranking brackets the subject between $253,819 (the better of the two inferior sales) and $277,875 (the one sale ranked similar), with the slightly superior sales at about $288,000 setting a ceiling. Sale 4 at $353,031 is the clear upper limit. The subject's own January 2025 sale, at $206,667 per unit, sits below every comparable, which is consistent with its below-market rents and 20-year ownership at the time.

How the ranking was used. The adjusted grid value must fall inside the $253,819 to $288,044 band, and the point estimate should sit nearer the similar sale than the inferior ones because the subject's gated parking and recent renovation of one building offset its smaller units.

Revised adjustment grid

Only the market conditions row changed from the first version; every other adjustment is carried forward and its derivation is stated below the grid.

Element	Sale 1	Sale 2	Sale 3	Sale 4	Sale 5	Sale 6	Subject
Address	4360 W 137th St, Hawthorne	4453 W 140th St, Hawthorne	13220 Cordary Ave, Hawthorne	1046-1048 Marine Ave, Gardena	13311 Kornblum Ave, Hawthorne	14423 Larch Ave, Hawthorne	13604 and 13608 Chadron Ave, Hawthorne
Transaction type	Sale	Sale	Sale	Sale	Sale	Sale	---
Transaction date	Jan-25	Dec-24	Oct-24	May-24	Mar-24	Jan-24	Oct-26 (effective date)
Year built / renovated	1985	1987	1986	1987 / 2024	1964	1980	1986 (13608 renovated 2021)
Number of units	10	10	14	12	18	12	30 (two 15-unit buildings)
Gross building area (SF)	7,752	8,791	12,096	10,584	16,080	11,752	20,488
GBA per unit (SF)	775	879	864	882	893	979	683
Unit mix	4 x 1BR, 6 x 2BR	10 studios (reported)	14 x 2BR/1BA (900 SF)	12 x 2BR/2BA	5 x 1BR, 13 x 2BR	12 studios (reported)	29 x 1BR/1BA (750 SF), 1 x 2BR/1.5BA
Land area	0.20 AC	0.21 AC	0.26 AC	0.45 AC	0.48 AC	0.22 AC	0.60 AC (two 0.30 AC parcels)
Parking	18 covered (1.8/unit)	20 covered (2.0/unit)	22 covered (1.6/unit)	26 covered (2.2/unit)	16 covered (0.9/unit)	20 covered (1.7/unit)	48 covered (1.6/unit), gated
Occupancy at sale	100%	100%	100%	92%	94%	100%	100%
NOI per unit (in place)	$14,906	$15,946	$16,669	$17,178	$15,071	$11,617	$8,683 (2024, at sale)
Cap rate (in place)	5.23%	5.41%	5.50%	5.22%	6.38%	4.90%	4.1% to 4.2% at Jan-25 sale
Sale price	$2,850,000	$2,954,298	$4,243,000	$3,950,000	$4,250,000	$2,850,000	---
Price per unit	$285,000	$295,430	$303,071	$329,167	$236,111	$237,500	---
Price per SF of GBA	$368	$336	$351	$373	$264	$243	---
Property rights conveyed	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Leased fee
Financing terms	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Cash to seller
Conditions of sale	0.0%	0.0%	0.0%	-2.5%	0.0%	0.0%	Arm's length
Market conditions (time)	-2.5%	-2.5%	-5.0%	+10.0%	+7.5%	+5.0%	---
Price per unit after transactional adjustments	$277,875	$288,044	$287,918	$353,031	$253,819	$249,375	---
Location	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Hawthorne, west of Crenshaw Blvd
Project size	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	15 units per building
Age / condition	0.0%	0.0%	0.0%	-5.0%	+10.0%	-2.5%	1986; one building renovated 2021
Quality of construction	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Masonry, 2-story walk-up
Average unit size	-2.5%	-5.0%	-5.0%	-5.0%	-5.0%	-7.5%	683 SF GBA per unit
Project amenities	+2.5%	0.0%	0.0%	0.0%	+2.5%	0.0%	Gated, controlled access, laundry
Parking	0.0%	-2.5%	0.0%	-2.5%	+5.0%	0.0%	1.6 covered spaces per unit
Unit mix	-2.5%	+5.0%	-5.0%	-5.0%	-5.0%	+5.0%	97% one-bedroom
Utilities / metering	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	Not reported
Land area / density	0.0%	0.0%	0.0%	-2.5%	0.0%	0.0%	50 units per acre
Other (rent regulation)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	AB 1482 only; no local rent control
Net property adjustment	-2.5%	-2.5%	-10.0%	-20.0%	+7.5%	-5.0%	---
Indicated value per unit	$270,928	$280,843	$259,126	$282,425	$272,856	$236,906	---
Gross (absolute) adjustment	10.0%	15.0%	15.0%	32.5%	35.0%	20.0%	---

Source: CoStar sale comparable reports dated October 7, 2026; Kidder Mathews 3Q 2026; adjustments by the author.

How each adjustment was derived, in one line each:

- Property rights, financing: all leased fee, all cash equivalent; zero. - Conditions of sale: Sale 4's double 1031 exchange priced at the top of the packet; 2.5 percent is the smallest increment used in the grid and matches the premium the sample report in the packet applies to motivated transactions. - Market conditions: index ratio method in the table above. - Age and condition: paired comparison of Sale 5 (1964) with Sale 3 (1986), both Hawthorne two-bedroom buildings, shows a 12 percent gap in time-adjusted price per unit; after removing the parking and amenity differences (7.5 percent), about 5 percent remains for two decades of age, so 10 percent is applied to Sale 5 for age plus condition, 5 percent to Sale 4 for a 2024 renovation, and 2.5 percent to Sale 6 for a probable but unconfirmed renovation. - Average unit size: 2.5 percent for each 100 to 150 SF of gross building area per unit above the subject's 683 SF, consistent with the 2.5 to 5 percent steps in the packet's sample grid. - Project amenities: 2.5 percent for the absence of a gated, controlled access entry, the same step the sample grid uses for inferior amenities. - Parking: paired comparison of Sale 2 (2.0 spaces per unit) with Sale 1 (1.8), same vintage and city, shows a 3.7 percent gap in time-adjusted price, rounded to 2.5 percent for the superior-parked sales and doubled for Sale 5's 0.9 ratio. - Unit mix: paired comparison of Sale 3 (all two-bedroom) with Sale 1 (60 percent two-bedroom) shows a 3.6 percent gap, so 5 percent is applied to all two-bedroom sales and 2.5 percent to Sale 1; 5 percent upward for the two reported all-studio buildings. - Land area and density: 2.5 percent for Sale 4's excess land at 27 units per acre. - Utilities, quality of construction, rent regulation: no data difference confirmed; zero.

Revised reconciliation and value conclusion

The revised adjusted values are $270,928 (Sale 1), $280,843 (Sale 2), $259,126 (Sale 3), $282,425 (Sale 4), $272,856 (Sale 5), and $236,906 (Sale 6), a range of $236,906 to $282,425 with a mean of $267,181. All six fall inside or just below the ranking band, and the two sales with the smallest gross adjustments, Sales 1 and 2 at 10 and 15 percent, indicate $270,928 and $280,843.

A value of $270,000 per unit is concluded, up from $265,000 in the first version. The change comes from two supported sources: the index trimmed the late-2024 sales by 2.5 to 5 percent but the ranking showed the subject must sit above the inferior sales' time-adjusted $249,000 to $254,000, and the similar sale adjusts to $270,928. The conclusion stays below the slightly superior sales because the subject's one-bedroom rents are about 16 percent under the submarket average and the unrenovated building has no reported upgrades.

Unit of comparison	Quantity	Value per unit	Indicated value
Price per unit	30 units	$270,000	$8,100,000
Price per SF of GBA (check)	20,488 SF	$395	$8,100,000

Allocation: 13608 Chadron Ave (renovated 2021), 15 units at $280,000, or $4,200,000; 13604 Chadron Ave, 15 units at $260,000, or $3,900,000.

Items still to verify before relying on the value: the unit mix of Sales 2 and 6, construction type of all six sales, and a South Bay submarket price series if CoStar access is available, since the metro index was used without a submarket adjustment.